

July 20, 2026 03:51 AM GMT

Apple, Inc. | North America

The Right Chips For the AI Job?

Apple's AI server silicon is potentially facing performance challenges that could (1) dampen Siri AI performance and/or (2) force greater (costlier) adoption of NVDA chips in GCP. Our checks indicate no change to M-series builds, with AAPL's first ASIC coming in C1H27, followed by a 2nd gen in '28.

Key Takeaways

- Last week The Information reported performance of Apple's M2 Ultra AI server chip was "struggling" and that Apple is on the lookout for chip acquisitions.
- Apple will be reliant on these M series AI server chips to process more complex Siri AI workloads not run on-device.
- Apple's Baltra ASIC is "on plan" for small volumes in C1H27, with a 2nd gen AI server ASIC to follow in 2028 that could potentially match merchant silicon.
- Why does this matter? A lack of power/performant chips in Private Cloud Compute could either (1) degrade Siri AI performance or (2) force more workloads to GCP.
- Signposts to track Apple's AI server silicon? SoIC bookings at TSMC, CoWoS bookings at TSMC, 2nd-Gen ASIC tape-out progress, and Apple's capex trajectory.

What's new, and what are the potential implications? Last week, [The Information reported](#) that Apple is "on the lookout for acquisitions of chip companies to boost its efforts to build server chips for running AI", noting that the performance of Apple's M2 Ultra powered AI servers is "struggling". We have no knowledge of any pending transactions, and Apple has not commented in response to the report. The Information also reported that a future version of Apple's AI server chip, code-named "Baltra" has been delayed, citing people familiar with the project. While Apple's internal AI efforts are still very early days – with Siri AI expected to launch this Fall – and more skewed to on-device inferencing than peers, the risk of not developing a chip capable of powering inference workloads in Apple's Private Cloud Compute (PCC) has two potentially major ramifications – (1) Apple could be forced to use underperforming chips in PCC for a period of time, which could seriously degrade the performance/latency of more complex Siri AI queries, and/or (2) Apple would be forced to run more Siri AI workloads in Google Cloud, a likely costly endeavour.

A history of Apple's silicon efforts, and why AI chips are a new beast for Apple. Apple's silicon expertise has been concentrated in the power-efficient chips used in iPhone, Mac, and iPad – which started with the A4 in 2010, debuting on the original iPad and iPhone 4. These System on a Chip (SoC) solutions – the A series (powering the iPhone, base iPad, etc.), M series (powering the Mac, iPad Pro/Air), S Series (Apple Watch), etc. – are unmatched in delivering performance and efficiency (silicon/hardware/software vertical integration helps as well). In fact, Apple's silicon

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Apple, Inc. (AAPL.O, AAPL US)	
IT Hardware United States of America	
Stock Rating	Overweight
Industry View	Cautious
Price target	\$360.00
Shr price, close (Jul 17, 2026)	\$333.74
Mkt cap, curr (mm)	\$4,912,741
52-Week Range	\$334.99-201.50

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team is so talented that it had TSMC (covered by Charlie Chan) customize an advanced packaging line for the A series chip. However, Apple doesn't have a long history in designing power-hungry but also extremely performant chips, which are required to run AI inferencing workloads in PCC. This is why, for example, the most performant Siri AI workloads are expected to run on NVDA chips on Google's Cloud (NVDA is covered by Joe Moore; Alphabet is covered by Brian Nowak).

What we know about Apple's M2 Ultra and "Baltra" from our supply chain checks. Earlier this year, [we published](#) that our checks indicated TSMC's SoIC (System on Integrated Circuit) output for Apple in 2027 would match AMD's output, indicating strong volumes for what we believed would be Apple's AI server chip. Our checks would still indicate Apple has not cancelled any packaging capacity at TSMC, but SoIC technology is also used in Apple's M5 Max and M5 Ultra, its highest performance M-series chips debuted in March '26, which could indicate these volumes are for chips supporting a number of devices – Mac, workstations, AI servers, etc. Furthermore, we learned that the 'Baltra' ASIC (likely produced in partnership with Broadcom – covered by Joe Moore – who [Apple just announced a \\$30B partnership with](#)) was always targeting C1H27 volume production, which will be quite small at first as it is Apple's first high-power chip, and therefore definitionally more experimental. Apple's 2nd Gen AI ASIC is likely to enter volume production in 2028, and we have heard the power envelope will potentially be close to merchant AI GPUs (e.g. NVIDIA's GPUs).

The signposts we are tracking to stay on top of this debate: (1) SoIC capacity bookings at TSMC – this remains a key indicator of Apple's M-series trajectory as well as broader AI ASIC demand; **(2) CoWoS capacity bookings at TSMC** – while Apple has yet to emerge as a major CoWoS user, moving toward a power envelope closer to NVIDIA's AI GPUs would likely necessitate HBM adoption, and in turn, CoWoS packaging; **(3) Second-generation AI ASIC tape-out progress** – as noted, we expect Apple's second-generation AI ASIC to reach volume production as early as 2028, implying a potential tape-out sometime in 2027; and **(4) Apple's capex trajectory** – although capex has already been trending higher, a successful volume ramp of a second-generation AI ASIC would likely drive further acceleration. It's also worth keeping in mind that Apple may refer to these technologies differently within the foundry ecosystem (i.e. not literally "CoWoS" or "SoIC"). That said, our checks suggest that the underlying toolsets and process technologies are broadly comparable, so we use these industry-standard terms for clarity and ease of discussion.

Risk Reward – Apple, Inc. (AAPL.O)

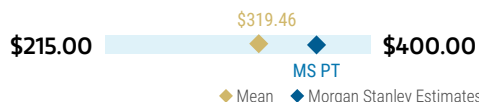
More Near-Term Cost Uncertainties Before a Catalyst-Laden 2H

PRICE TARGET \$360.00

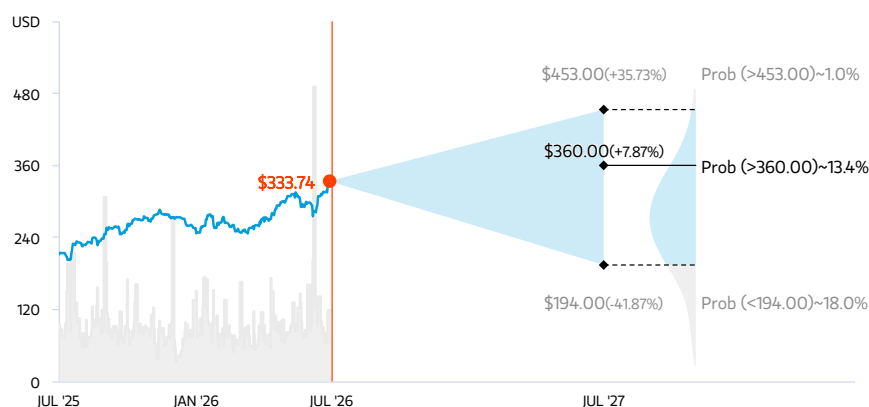
Our \$360 PT is based on 9.1x EV/Sales FY27 multiple, which is derived from a regression of tech and consumer platform peers. Our price target implies ~35x P/E on \$10.30 FY27 EPS.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



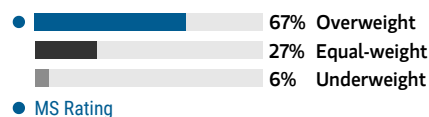
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 17 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

With the most elongated iPhone replacement cycles, new AI features rolling out around the world, and a renewed focus on device form factor changes, we believe Apple can accelerate iPhone growth starting in FY26, with replacement cycles peaking as aged installed base starts to upgrade. When combined with consistent, double digit services growth and moderate operating leverage, we believe Apple can earn \$8.89 in FY26 and \$10.30 by FY27. Memory cost dynamic could create uncertainties in the near term. Longer-term, investments in AI, payments, cloud, health, and home, and long runway to grow spend per user from \$1/day today are key arguments for sustained long-term growth and value creation.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: Positive
New Data Era: Positive
Pricing Power: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$453.00

11x EV/Sales FY27; ~41x Bull FY27 P/E of \$11.02

iPhone replacement cycles accelerate in FY26/FY27 with Robotics as a long-term upside. Consumer demand returns, and stronger than expected iPhone 17 upgrade intentions + mix shift to higher end iPhones drives mid-teens Y/Y iPhone revenue growth, while rising component costs are mitigated given Apple's bargaining power against consumers and the supply chain. Our bull case valuation implies a 41.1x P/E multiple on FY27 Bull EPS, which embeds \$22 per share of upside from its Robotics efforts.

BASE CASE

\$360.00

9.1x EV/Sales FY27 or ~35x FY27 EPS of \$10.30

Services and margins remain resilient, while investors start to expect stronger iPhone cycles ahead. Revenue grows 15% Y/Y in FY27, driven by 10%+ Services growth and mid-teens % Products growth. GM may contract Y/Y in FY27 driven by higher Product revenue mix and memory costs, while Apple leverages the supply chain and repricing to mitigate the cost impact. The iPhone replacement cycle is peaking and creates pent up demand for upgrades in FY27.

BEAR CASE

\$194.00

6.3x EV/Sales FY27; 24.6x FY27 Bear EPS of \$7.89

iPhone 17 cycle disappoints as consumer spending weakens more than expected amidst synthetic price increases. Growth slows further across the portfolio as discretionary income is pressured by hard landing, leading to just LSD of Product rev growth and decelerating Services rev growth in FY26. With revenue slightly growing but margin contracting, FY26 EPS will only grow MSD to ~\$7.36. Our bear case valuation implies a 24.6x FY27 P/E, below T5Y avg of 26.0x due to plateauing Services profit mix.

Risk Reward – Apple, Inc. (AAPL.O)

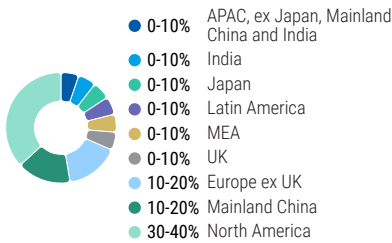
KEY EARNINGS INPUTS

Drivers	Sep 2025	Sep 2026e	Sep 2027e	Sep 2028e
Total Revenue Growth (Y/Y) (%)	6.4	16.6	14.9	5.8
iPhone Revenue Growth (Y/Y) (%)	4.2	23.6	19.1	4.2
Services Revenue Growth (Y/Y) (%)	13.5	14.0	12.1	11.3
Gross Margin (%)	46.9	48.0	47.5	48.0
EPS Growth (Y/Y) (%)	10.6	19.1	15.9	7.5

INVESTMENT DRIVERS

- Positive iPhone build revisions / clearer signs of accelerating replacement cycles
- Services revenue growth reacceleration
- Apple Intelligence feature and distribution expansion
- New product launches in home, health and AI

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- iPhone 17 outperforms expectations
- Apple Intelligence adoption surprises to the upside
- Apple pulls forward form factor changes
- Services growth re-accelerates despite tougher compares
- Gross margins surprise positively

RISKS TO DOWNSIDE

- Weak consumer spending limits iPhone upgrade rates
- Higher memory input costs
- Limited progress on AI features
- Geopolitical tensions
- Increased regulation, particularly with App Store

OWNERSHIP POSITIONING

Inst. Owners, % Active	47.5%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv, MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Sep 2027e

Sales / Revenue (\$, mm)	◆ 557,504	Note: There are not sufficient brokers supplying consensus data for this metric
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EBITDA (\$, mm)	◆ 192,404	Note: There are not sufficient brokers supplying consensus data for this metric
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Net income (\$, mm)	◆ 149,643	Note: There are not sufficient brokers supplying consensus data for this metric
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EPS (\$)	◆ 10.30	Note: There are not sufficient brokers supplying consensus data for this metric
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◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Apple (AAPL) Financial Model

Exhibit 1: Apple Income Statement

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Revenues	124,300	95,359	94,036	102,466	143,756	111,184	108,771	121,635	150,274	134,142	135,287	137,802	391,035	416,161	485,346	557,504	589,797
iPhone	69,138	46,841	44,582	49,025	85,269	56,994	54,207	62,581	85,657	75,145	74,791	72,997	201,183	209,586	259,051	308,590	321,555
iPad	8,088	6,402	6,581	6,952	8,595	6,914	6,848	7,892	9,223	7,106	7,444	8,043	26,694	28,023	30,249	31,816	32,191
Mac	8,987	7,949	8,046	8,726	8,386	8,399	8,839	9,702	9,529	9,304	9,293	10,500	29,984	33,708	35,326	38,626	39,575
Wearables, Home and Accessories	11,747	7,522	7,404	9,013	11,493	7,901	7,796	9,106	12,227	8,381	8,454	9,952	37,005	35,686	36,296	39,014	41,258
Services	26,340	26,645	27,423	28,750	30,013	30,976	31,081	32,354	33,639	34,205	35,305	36,309	96,169	109,158	124,423	139,458	155,218
Cost of Sales	66,025	50,492	50,318	54,125	74,525	56,403	56,503	64,734	79,353	69,530	71,170	72,523	210,352	220,960	252,165	292,576	306,582
Gross Profit	58,275	44,867	43,718	48,341	69,231	54,781	52,268	56,901	70,921	64,612	64,117	65,279	180,683	195,201	233,181	264,928	283,215
<i>Gross Margin</i>	<i>46.9%</i>	<i>47.1%</i>	<i>46.5%</i>	<i>47.2%</i>	<i>48.2%</i>	<i>49.3%</i>	<i>48.1%</i>	<i>46.8%</i>	<i>47.2%</i>	<i>48.2%</i>	<i>47.4%</i>	<i>47.4%</i>	<i>46.2%</i>	<i>46.9%</i>	<i>48.0%</i>	<i>47.5%</i>	<i>48.0%</i>
Operating Expenses	15,443	15,278	15,516	15,914	18,379	18,896	19,089	19,644	21,309	21,597	21,943	22,531	57,467	62,151	76,008	87,380	93,987
Research and Development	8,268	8,550	8,866	8,866	10,887	11,419	11,802	12,164	13,209	13,750	14,300	14,607	31,370	34,550	46,271	55,865	61,193
Selling, General and Administrative	7,175	6,728	6,650	7,048	7,492	7,477	7,288	7,481	8,100	7,847	7,644	7,924	26,097	27,601	29,737	31,514	32,795
Operating Income	42,832	29,589	28,202	32,427	50,852	35,885	33,179	37,257	49,612	43,015	42,173	42,748	123,216	133,050	157,173	177,549	189,228
<i>PTOP Margin</i>	<i>34.5%</i>	<i>31.0%</i>	<i>30.0%</i>	<i>31.6%</i>	<i>35.4%</i>	<i>32.3%</i>	<i>30.5%</i>	<i>30.6%</i>	<i>33.0%</i>	<i>32.1%</i>	<i>31.2%</i>	<i>31.0%</i>	<i>31.5%</i>	<i>32.0%</i>	<i>32.4%</i>	<i>31.8%</i>	<i>32.1%</i>
Total Interest & Other Income	(248)	(279)	(171)	377	150	(52)	251	156	124	136	159	180	269	(321)	504	598	278
Pretax Income	42,584	29,310	28,031	32,804	51,002	35,833	33,430	37,413	49,736	43,151	42,332	42,928	123,485	132,729	157,677	178,146	189,506
GAAP Income Tax Provision	6,254	4,530	4,597	5,338	8,905	6,255	5,683	5,986	7,958	6,904	6,773	6,869	29,749	20,719	26,829	28,503	30,321
Operating Tax Provision (excl one time tax eff)	6,254	4,530	4,597	5,338	8,905	6,255	5,683	5,986	7,958	6,904	6,773	6,869	19,503	20,719	26,829	28,503	30,321
<i>Effective Tax Rate</i>	<i>14.7%</i>	<i>15.5%</i>	<i>16.4%</i>	<i>16.3%</i>	<i>17.5%</i>	<i>17.5%</i>	<i>17.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>15.8%</i>	<i>15.6%</i>	<i>17.0%</i>	<i>16.0%</i>	<i>16.0%</i>
Operating Net Income	36,330	24,780	23,434	27,466	42,097	29,578	27,747	31,427	41,778	36,246	35,559	36,060	103,982	112,010	130,848	149,643	159,185
<i>Operating Net Income Margin</i>	<i>29.2%</i>	<i>26.0%</i>	<i>24.9%</i>	<i>26.8%</i>	<i>29.3%</i>	<i>26.6%</i>	<i>25.5%</i>	<i>25.8%</i>	<i>27.8%</i>	<i>27.0%</i>	<i>26.3%</i>	<i>26.2%</i>	<i>26.6%</i>	<i>26.9%</i>	<i>27.0%</i>	<i>26.8%</i>	<i>27.0%</i>
Total Non-recurring Charges	-	-	-	-	-	-	-	-	-	-	-	-	(10,246)	-	-	-	-
GAAP Net Income	36,330	24,780	23,434	27,466	42,097	29,578	27,747	31,427	41,778	36,246	35,559	36,060	93,736	112,010	130,848	149,643	159,185
Fully-diluted EPS																	
EPS - ModelWare	\$2.40	\$1.65	\$1.57	\$1.85	\$2.84	\$2.01	\$1.89	\$2.15	\$2.86	\$2.49	\$2.45	\$2.49	\$6.75	\$7.46	\$8.89	\$10.30	\$11.07
EPS - Reported	\$2.40	\$1.65	\$1.57	\$1.85	\$2.84	\$2.01	\$1.89	\$2.15	\$2.86	\$2.49	\$2.45	\$2.49	\$6.08	\$7.46	\$8.89	\$10.30	\$11.07
EPS - ModelWare excl. Stock Option Expe	\$2.61	\$1.86	\$1.78	\$2.06	\$3.09	\$2.25	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Dividend Payment	3,856	3,758	3,945	3,862	3,921	3,822	4,057	3,981	4,043	3,952	4,208	4,131	15,234	15,421	15,780	16,334	16,974
Dividend Per Share	\$0.25	\$0.25	\$0.26	\$0.26	\$0.26	\$0.26	\$0.28	\$0.27	\$0.28	\$0.27	\$0.29	\$0.29	\$0.99	\$1.03	\$1.08	\$1.13	\$1.18
Period Ending Outstanding Shares	15,040.7	14,939.3	14,856.7	14,773.3	14,702.7	14,667.7	14,613.0	14,567.5	14,523.7	14,481.4	14,440.7	14,401.5	15,116.8	14,773.3	14,567.5	14,401.5	14,268.8
Avg Shares (Basic)	15,081.7	14,994.1	14,902.9	14,815.3	14,748.2	14,673.3	14,640.3	14,590.2	14,545.6	14,502.5	14,461.1	14,421.1	15,343.8	14,948.5	14,663.0	14,482.6	14,332.7
Avg Shares (Fully Diluted)	15,150.9	15,056.1	14,948.2	14,863.6	14,810.4	14,725.9	14,692.9	14,642.8	14,587.6	14,544.5	14,503.1	14,463.1	15,408.1	15,004.7	14,718.0	14,524.6	14,374.7

Source: Company data, Morgan Stanley Research estimates

Exhibit 2: Apple Income Statement Analysis

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Margin Analysis																	
Gross Margin	46.9%	47.1%	46.5%	47.2%	48.2%	49.3%	48.1%	46.8%	47.2%	48.2%	47.4%	47.4%	46.2%	46.9%	48.0%	47.5%	48.0%
Product	39.3%	35.9%	34.5%	36.2%	40.7%	38.7%	36.7%	36.1%	38.5%	38.1%	36.8%	36.7%	37.2%	36.8%	38.2%	37.6%	37.4%
iPhone	42.8%	39.3%	37.4%	40.0%	44.5%	43.0%	41.0%	40.0%	42.5%	41.8%	40.0%	40.3%	40.6%	40.2%	42.4%	41.2%	40.5%
iPad	29.7%	27.5%	26.8%	26.8%	28.0%	28.0%	25.5%	26.0%	27.0%	26.0%	27.0%	27.0%	28.6%	27.8%	26.9%	26.8%	27.7%
Mac	32.3%	28.5%	30.0%	30.0%	31.0%	28.0%	26.0%	26.0%	27.0%	26.8%	26.8%	27.1%	30.3%	30.3%	27.7%	26.9%	28.6%
Wearables, Home and Accessories	30.8%	29.9%	28.9%	28.9%	28.8%	28.3%	28.5%	29.0%	28.5%	28.5%	28.5%	29.0%	30.6%	29.7%	28.7%	28.6%	29.0%
Services	75.0%	75.7%	75.6%	75.3%	76.5%	76.7%	76.5%	76.2%	77.2%	77.5%	77.3%	77.1%	73.9%	75.4%	76.5%	77.3%	77.8%
R&D	6.7%	9.0%	9.4%	8.7%	7.6%	10.3%	10.9%	10.0%	8.8%	10.3%	10.6%	10.6%	8.0%	8.3%	9.5%	10.0%	10.4%
SG&A	5.8%	7.1%	7.1%	6.9%	5.2%	6.7%	6.7%	6.2%	5.4%	5.9%	5.7%	5.8%	6.7%	6.6%	6.1%	5.7%	5.6%
Operating Expenses	12.4%	16.0%	16.5%	15.5%	12.8%	17.0%	17.6%	16.2%	14.2%	16.1%	16.2%	16.4%	14.7%	14.9%	15.7%	15.7%	15.9%
EBITDA Margin	36.9%	33.8%	33.0%	34.7%	37.6%	35.4%	33.9%	33.6%	35.5%	34.8%	33.9%	33.8%	34.4%	34.8%	35.3%	34.5%	34.8%
PTOP Margin	34.5%	31.0%	30.0%	31.6%	35.4%	32.3%	30.5%	30.6%	33.0%	32.1%	31.2%	31.0%	31.5%	32.0%	32.4%	31.8%	32.1%
Pretax Margin	34.3%	30.7%	29.8%	32.0%	35.5%	32.2%	30.7%	30.8%	33.1%	32.2%	31.3%	31.2%	31.6%	31.9%	32.5%	32.0%	32.1%
Net Income	29.2%	26.0%	24.9%	26.8%	29.3%	26.6%	25.5%	25.8%	27.8%	27.0%	26.3%	26.2%	26.6%	26.9%	27.0%	26.8%	27.0%
Year-Over-Year Growth (%)																	
Revenue	4%	5%	10%	8%	16%	17%	16%	19%	5%	21%	24%	13%	2%	6%	17%	15%	6%
iPhone	-1%	2%	13%	6%	23%	22%	22%	28%	0%	32%	38%	17%	0%	4%	24%	19%	4%
iPad	15%	15%	-8%	0%	6%	8%	4%	14%	7%	3%	9%	2%	-6%	5%	8%	5%	1%
Mac	16%	7%	15%	13%	-7%	6%	10%	11%	14%	11%	5%	8%	2%	12%	5%	9%	2%
Wearables, Home and Accessories	-2%	-5%	-9%	0%	-2%	5%	5%	1%	6%	6%	8%	9%	-7%	-4%	2%	7%	6%
Services	14%	12%	13%	15%	14%	16%	13%	13%	12%	10%	14%	12%	13%	14%	14%	12%	11%
Gross Margin	6%	6%	10%	10%	19%	22%	20%	18%	2%	18%	23%	15%	7%	8%	19%	14%	7%
iPhone	0%	0%	10%	7%	28%	33%	33%	28%	-4%	28%	35%	17%	1%	3%	30%	16%	2%
iPad	14%	13%	-12%	-5%	0%	10%	-1%	10%	3%	-5%	15%	6%	-3%	2%	5%	5%	5%
Mac	17%	4%	15%	13%	-10%	4%	-5%	-4%	-1%	6%	8%	13%	5%	12%	-4%	6%	9%
Wearables, Home and Accessories	-5%	-4%	-12%	-4%	-8%	-1%	4%	1%	5%	7%	8%	9%	-5%	-6%	-2%	7%	7%
Services	17%	13%	16%	17%	16%	18%	15%	14%	13%	12%	15%	14%	18%	16%	16%	13%	12%
R&D	7%	8%	11%	14%	32%	34%	33%	37%	21%	20%	21%	20%	5%	10%	34%	21%	10%
SG&A	6%	4%	5%	8%	4%	11%	10%	6%	8%	5%	6%	6%	5%	6%	8%	6%	4%
Operating Expenses	7%	6%	8%	11%	19%	24%	23%	23%	16%	14%	15%	15%	5%	8%	22%	15%	8%
PTOP Margin	6%	6%	11%	10%	19%	21%	18%	15%	-2%	20%	27%	15%	8%	8%	18%	13%	7%
Pretax Margin	6%	4%	10%	11%	20%	22%	19%	14%	-2%	20%	27%	15%	9%	7%	19%	13%	6%
Net Income	7%	5%	9%	10%	16%	19%	18%	14%	-1%	23%	28%	15%	7%	8%	17%	14%	6%
ModelWare EPS	10%	8%	12%	13%	19%	22%	20%	16%	1%	24%	30%	16%	10%	11%	19%	16%	7%
Sequential Growth (%)																	
Revenue	31%	-23%	-1%	9%	40%	-23%	-2%	12%	24%	-11%	1%	2%					
iPhone	50%	-32%	-5%	10%	74%	-33%	-5%	15%	37%	-12%	0%	-2%					
iPad	16%	-21%	3%	6%	24%	-20%	-1%	15%	17%	-23%	5%	8%					
Mac	16%	-12%	1%	8%	-4%	0%	5%	10%	-2%	-2%	0%	13%					
Wearables, Home and Accessories	30%	-36%	-2%	22%	28%	-31%	-1%	17%	34%	-31%	1%	18%					
Services	5%	1%	3%	5%	4%	3%	0%	4%	4%	2%	3%	3%					
Gross Margin	33%	-23%	-3%	11%	43%	-21%	-5%	9%	25%	-9%	-1%	2%					
iPhone	61%	-38%	-9%	18%	93%	-35%	-9%	13%	45%	-14%	-5%	-2%					
iPad	23%	-27%	0%	6%	29%	-20%	-10%	18%	21%	-26%	9%	8%					
Mac	25%	-22%	7%	8%	-1%	-10%	-2%	10%	2%	-3%	0%	14%					
Wearables, Home and Accessories	33%	-38%	-5%	22%	27%	-33%	-1%	19%	32%	-31%	1%	20%					
Services	7%	2%	3%	4%	6%	3%	0%	4%	5%	2%	3%	3%					
R&D	6%	3%	4%	0%	23%	5%	3%	3%	9%	4%	4%	2%					
SG&A	10%	-6%	-1%	6%	6%	0%	-3%	3%	8%	-3%	-3%	4%					
Operating Expenses	8%	-1%	2%	3%	15%	3%	1%	3%	8%	1%	2%	3%					
PTOP Margin	45%	-31%	-5%	15%	57%	-29%	-8%	12%	33%	-13%	-2%	1%					
Pretax Margin	44%	-31%	-4%	17%	55%	-30%	-7%	12%	33%	-13%	-2%	1%					
Net Income	45%	-32%	-5%	17%	53%	-30%	-6%	13%	33%	-13%	-2%	1%					
ModelWare EPS	46%	-31%	-5%	18%	54%	-29%	-6%	14%	33%	-13%	-2%	2%					
Revenue Mix																	
iPhone	56%	49%	47%	48%	59%	51%	50%	51%	57%	56%	55%	53%	51%	50%	53%	55%	55%
iPad	7%	7%	7%	7%	6%	6%	6%	6%	6%	5%	6%	6%	7%	7%	6%	6%	5%
Mac	7%	8%	9%	9%	6%	8%	8%	8%	6%	7%	7%	8%	8%	8%	7%	7%	7%
Wearables, Home and Accessories	9%	8%	8%	9%	8%	7%	7%	7%	8%	6%	6%	7%	9%	9%	7%	7%	7%
Services	21%	28%	29%	28%	21%	28%	29%	27%	22%	25%	26%	26%	25%	26%	26%	25%	26%

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: Apple Balance Sheet

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Assets																	
Current Assets:																	
Cash and cash equivalents	30,299	28,162	36,269	35,934	45,317	45,572	57,332	64,895	76,842	100,026	121,318	123,499	29,943	35,934	64,895	123,499	169,821
Short-term investments	111,069	104,760	96,717	96,486	99,478	101,023	101,023	101,023	101,023	101,023	101,023	101,023	126,707	96,486	101,023	101,023	101,023
Accounts receivable	29,639	26,136	27,557	39,777	39,921	30,339	35,859	46,274	35,935	37,262	41,627	47,931	33,410	39,777	46,274	47,931	39,433
Inventories	6,911	6,269	5,925	5,718	5,875	6,747	6,830	8,444	8,625	8,498	8,603	9,459	7,286	5,718	8,444	9,459	7,937
Deferred tax assets	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546
Other current assets	37,369	32,225	28,091	42,219	39,855	32,975	30,045	44,642	42,634	34,829	31,664	47,429	41,574	42,219	44,642	47,429	51,192
Total Current Assets	220,833	203,098	200,105	225,680	235,992	222,202	236,635	270,824	270,605	287,184	309,781	334,888	244,466	225,680	270,824	334,888	374,951
Property, Plant & Equipment, net	46,069	46,876	48,508	49,834	50,159	50,116	49,412	48,770	48,371	47,965	47,969	48,267	45,680	49,834	48,770	48,267	52,257
Acquired Intangible Assets	29,043	30,577	31,188	31,506	35,050	37,164	36,502	35,884	35,307	34,768	34,265	33,796	28,160	31,506	35,884	33,796	32,045
Other assets	48,140	50,682	51,694	52,221	58,096	61,600	56,863	57,443	63,905	67,760	62,550	63,188	46,674	52,221	57,443	63,188	69,506
Non-current debt and equity investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Fixed Assets	123,252	128,135	131,390	133,561	143,305	148,880	142,777	142,097	147,583	150,493	144,784	145,250	120,514	133,561	142,097	145,250	153,808
Total Assets	344,085	331,233	331,495	359,241	379,297	371,082	379,412	412,920	418,189	437,676	454,565	480,138	364,980	359,241	412,920	480,138	528,759
Liabilities																	
Current Liabilities:																	
Accounts payable	61,910	54,126	50,374	69,860	70,587	57,349	57,745	80,917	69,003	73,393	71,952	90,653	68,960	69,860	80,917	90,653	83,337
Accrued expenses	69,612	70,825	71,478	75,442	77,956	66,985	75,060	79,416	80,272	84,120	92,056	88,842	86,553	75,442	79,416	88,842	88,564
Current Debt	12,843	19,620	19,268	20,329	13,824	10,307	10,307	10,307	10,307	10,307	10,307	10,307	20,879	20,329	10,307	10,307	10,307
Other current liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Liabilities	144,365	144,571	141,120	165,631	162,367	134,641	143,111	170,641	159,582	167,820	174,315	189,802	176,392	165,631	170,641	189,802	182,208
Non-Current Liabilities																	
Long-term debt	83,956	78,566	82,430	78,328	76,685	74,404	74,404	74,404	74,404	74,404	74,404	74,404	85,750	78,328	74,404	74,404	74,404
Deferred revenue - non-current	3,199	2,747	2,851	2,731	3,457	3,772	3,213	3,017	2,945	3,235	3,612	3,103	2,960	2,731	3,017	3,103	3,027
Deferred tax liabilities	44,957	37,703	38,414	37,968	47,748	50,924	50,924	50,924	50,924	50,924	50,924	50,924	42,078	37,968	50,924	50,924	50,924
Other non-current liabilities	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850
Total Non-Current Liabilities	132,962	119,866	124,545	119,877	128,740	129,950	129,391	129,194	129,123	129,413	129,790	129,280	131,638	119,877	129,194	129,280	129,205
Total Liabilities	277,327	264,437	265,665	285,508	291,107	264,591	272,503	299,835	288,705	297,233	304,105	319,083	308,030	285,508	299,835	319,083	311,413
Series A preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Shareholder's Equity	66,758	66,796	65,830	73,733	88,190	106,491	106,909	113,085	129,484	140,443	150,460	161,056	56,950	73,733	113,085	161,056	217,345
Total Liabilities and Shareholder's Equity	344,085	331,233	331,495	359,241	379,297	371,082	379,412	412,920	418,189	437,676	454,565	480,138	364,980	359,241	412,920	480,138	528,759

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: Apple Statement of Cash Flows

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Cash Flow Statement (Non Cumulative)																	
Operating activities:																	
Net Income / (Loss)	36,330	24,780	23,434	27,466	42,097	29,578	27,747	31,427	41,778	36,246	35,559	36,060	93,736	112,010	130,848	149,643	159,185
Cumulative effect of accounting change	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Adjustments to reconcile net income:	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Depreciation & Amortization	3,080	2,661	2,830	3,127	3,214	3,439	3,645	3,646	3,673	3,696	3,726	3,761	11,445	11,698	13,943	14,856	15,827
Stock based compensation expense	3,286	3,226	3,168	3,183	3,594	3,528	-	-	-	-	-	-	11,688	12,863	7,122	-	-
Provision for (benefit from) deferred income taxes	(2,009)	(208)	469	1,659	(528)	(1,189)	-	-	-	-	-	-	(2,266)	(89)	(1,717)	-	-
Gain on non-current investments, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gain on short-term investments, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Unrealized loss on conv. securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loss on sale of PP&E	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-cash restructuring	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
In-Process R&D	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Tax benefit from ESO	-	-	-	-	-	-	699	699	633	633	633	633	-	-	1,398	2,532	1,937
Changes in Operating Assets and Liabilities:																	
Accounts receivable	3,597	3,669	(1,581)	(12,367)	(153)	9,448	(5,520)	(10,416)	10,339	(1,327)	(4,365)	(6,304)	(3,788)	(6,682)	(6,640)	(1,657)	8,498
Inventories	215	643	365	177	(211)	(873)	(83)	(1,614)	(182)	127	(105)	(856)	(1,046)	1,400	(2,781)	(1,016)	1,523
Other current assets	3,166	6,005	4,384	(13,902)	2,781	7,227	2,930	(14,597)	2,008	7,805	3,165	(15,765)	(11,731)	(347)	(1,659)	(2,787)	(3,763)
Other assets	939	(5,310)	(1,745)	(3,081)	(10,250)	(4,079)	4,736	(580)	(6,462)	(3,854)	5,210	(638)	(1,356)	(9,197)	(10,172)	(5,744)	(6,319)
Accounts payable	(6,671)	(7,933)	(3,875)	19,381	848	(13,145)	396	23,173	(11,915)	4,390	(1,441)	18,701	6,020	902	11,271	9,736	(7,316)
Deferred revenue	-	-	-	-	-	-	(559)	(197)	(72)	290	377	(510)	-	-	(756)	86	(75)
Accrued restructuring costs	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current liabilities	(11,998)	(3,581)	418	4,085	12,533	(5,232)	8,075	4,357	856	3,848	7,935	(3,214)	15,552	(11,076)	19,732	9,426	(278)
Deferred tax liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Cash Provided by Operating Activities	29,935	23,952	27,867	29,728	53,925	28,702	42,066	35,898	40,657	51,856	50,694	31,868	118,254	111,482	160,590	175,074	169,219
Investing activities:																	
Purchase of short-term investments	(6,124)	(6,318)	(5,149)	(6,816)	(12,693)	(19,739)	-	-	-	-	-	-	(48,656)	(24,407)	(32,432)	-	-
Proceeds from maturities of short-term investments	15,967	10,620	8,449	5,871	7,510	11,181	-	-	-	-	-	-	51,211	40,907	18,691	-	-
Proceeds from sales of short-term investments	3,492	1,718	5,575	2,105	2,824	5,791	-	-	-	-	-	-	11,135	12,890	8,615	-	-
Purchases of long-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Proceeds from sale of PP&E	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of PP&E	(2,940)	(3,071)	(3,462)	(3,242)	(2,373)	(1,971)	(2,279)	(2,385)	(2,698)	(2,751)	(3,227)	(3,589)	(9,447)	(12,715)	(9,008)	(12,265)	(18,066)
Cash paid for acquisition of technology	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of ARM shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other	(603)	(32)	(340)	(505)	(154)	(1,430)	-	-	-	-	-	-	(1,308)	(1,480)	(1,584)	-	-
Net cash used in investing activities	9,792	2,917	5,073	(2,587)	(4,886)	(6,168)	(2,279)	(2,385)	(2,698)	(2,751)	(3,227)	(3,589)	2,935	15,195	(15,718)	(12,265)	(18,066)
Financing activities:																	
Proceeds from issuance of common stock	-	-	-	-	-	-	30	31	31	32	33	34	-	-	61	130	141
Excess tax benefits from stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Taxes paid related to net share settlement	(2,921)	(284)	(2,514)	(241)	(2,922)	(330)	-	-	-	-	-	-	(5,441)	(5,960)	(3,252)	-	-
Dividends and dividend equivalent rights paid	(3,856)	(3,758)	(3,945)	(3,862)	(3,921)	(3,822)	(4,057)	(3,981)	(4,043)	(3,952)	(4,208)	(4,131)	(15,234)	(15,421)	(15,780)	(16,334)	(16,974)
Repurchase of common stock	(23,606)	(25,898)	(21,075)	(20,132)	(24,701)	(12,288)	(24,000)	(22,000)	(22,000)	(22,000)	(22,000)	(22,000)	(94,949)	(90,711)	(82,989)	(88,000)	(88,000)
Increase (decrease) in long-term borrowing	(1,009)	1,009	4,481	-	(2,164)	2,164	-	-	-	-	-	-	-	4,481	-	-	-
Increase (decrease) in notes payable to banks	(7,979)	(75)	(1,780)	(3,241)	(5,948)	(8,003)	-	-	-	-	-	-	(6,359)	(13,075)	(13,951)	-	-
Net Cash used in Financing Activities	(39,371)	(29,006)	(24,833)	(27,476)	(39,656)	(22,279)	(28,027)	(25,950)	(26,012)	(25,920)	(26,175)	(26,098)	(121,983)	(120,686)	(115,912)	(104,204)	(104,832)
Increase/(decrease) in Cash and Cash Equivalents	356	(2,137)	8,107	(335)	9,383	255	11,760	7,563	11,947	23,184	21,291	2,182	(794)	5,991	28,961	58,604	46,321
Adjustments for restatements	-	-	-	-	-	-	-	-	-	-	-	-	772	-	-	-	-
Cash and Cash Equivalents at Beginning of Period	29,943	30,299	28,162	36,269	35,934	45,317	45,572	57,332	64,895	76,842	100,026	121,318	29,965	29,943	35,934	64,895	123,499
Cash and Cash Equivalents at End of Period	30,299	28,162	36,269	35,934	45,317	45,572	57,332	64,895	76,842	100,026	121,318	123,499	29,943	35,934	64,895	123,499	169,821

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Apple, Inc. (AAPL.O) - As of 07/20/26 GMT in USD
Industry : IT Hardware



Stock Rating History: 7/1/21 : O/I; 10/5/21 : O/C; 1/18/23 : O/I; 1/20/26 : O/C

Price Target History: 6/23/21 : 162; 7/14/21 : 166; 7/27/21 : 168; 10/26/21 : 166; 10/28/21 : 164; 12/7/21 : 200; 1/27/22 : 210; 4/28/22 : 195; 6/14/22 : 185; 7/19/22 : 180; 10/17/22 : 177; 11/7/22 : 175; 3/3/23 : 180; 5/4/23 : 185; 6/1/23 : 190; 7/16/23 : 220; 8/3/23 : 215; 10/15/23 : 210; 12/7/23 : 220; 4/22/24 : 210; 5/3/24 : 216; 7/14/24 : 273; 1/31/25 : 275; 3/12/25 : 252; 4/8/25 : 220; 4/28/25 : 235; 7/31/25 : 240; 10/1/25 : 298; 10/31/25 : 305; 12/17/25 : 315; 5/1/26 : 330; 6/8/26 : 360

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	\$333.74
CDW Corporation (CDW.O)	O (06/23/2026)	\$133.24
Cricut Inc (CRCT.O)	U (08/12/2021)	\$4.63
Dell Technologies Inc. (DELL.N)	E (06/01/2026)	\$396.34
Everpure, Inc. (P.N)	E (06/11/2024)	\$69.38
Garmin Ltd (GRMN.N)	E (02/18/2026)	\$249.56
GoPro Inc (GPRO.O)	U (12/12/2023)	\$0.66
Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	\$45.82
HP Inc. (HPQ.N)	U (11/16/2025)	\$24.84
IBM (IBM.N)	E (01/18/2023)	\$212.67
Ingram Micro (INGM.N)	E (06/11/2025)	\$29.28
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	\$15.03
Logitech International SA (LOGI.O)	U (01/20/2026)	\$102.83
NetApp Inc (NTAP.O)	U (01/20/2026)	\$163.88
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	\$35.83
Seagate Technology (STX.O)	O (03/26/2024)	\$787.66
SmartRent, Inc. (SMRT.N)	++	\$0.96
Sonos Inc. (SONO.O)	E (11/06/2025)	\$15.11
TD Synnex Corporation (SNX.N)	O (06/11/2025)	\$242.62
Teradata (TDC.N)	O (04/08/2025)	\$30.52
Western Digital (WDC.O)	O (04/16/2025)	\$477.22
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	\$55.08

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